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US Economic Update: August 10, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q3 2026 (%)	6-Aug-26	5-Aug-26	4-Aug-26	3-Aug-26	30-Jul-26
	5.8	5.8	5.9	6.2	5.0

The US economy shed 23,000 jobs in July

- Total nonfarm payrolls fell by 23,000 in July, the first decline in five months. Job gains in July were concentrated in a handful of sectors, led by health care and social assistance (22,600), construction (22,000), and professional and business services (18,000). Payrolls, however, fell in government (-53,000), leisure and hospitality (-40,000), and retail trade (-19,400). Downward revisions by the Bureau of Labor Statistics to May and June data suggest that jobs growth was lower by a combined 103,000 in those two months than previously reported.

  A separate survey (of households) by the Bureau of Labor Statistics shows that the unemployment rate edged down to 4.1% in July from 4.2% in the previous month. Slowing labor supply has been weighing on the unemployment rate, with the labor force participation rate declining to 61.4% in July, its lowest level since February 2021.
- Average hourly earnings in the private sector grew 0.1% in July, slowing from a 0.3% increase in June. Compared to a year ago, average hourly earnings rose 3.2% in July, the slowest annual increase since May 2021. Slowing wage growth amid rising inflation will weigh on purchasing power of workers, thereby posing risks to consumer spending in the months ahead.
- The job opening rate in the private sector was 4.6% in June, slightly down from 4.7% in May. The job opening rate was highest in professional and business services (5.5%), followed by health care and social assistance (5.3%). The hiring rate slightly rose to 3.7% in June, while the layoff rate remained unchanged at 1.2% during the month.
- Labor productivity rose at a seasonally adjusted annual rate of 1.4% in Q2 2026, up from an increase of 0.8% in Q1 2026. The improvement in productivity reflected stronger output growth (1.7%) relative to the increase in hours worked (0.3%).
- The US trade deficit (in goods and services) narrowed to US$73.3 billion in June from US$77.6 billion in May. This was primarily due to a 1.8% decline in imports, led by lower purchases of capital and consumer goods. Exports fell 0.9% during the month, partly reflecting weaker US shipments of industrial supplies and materials to the rest of the world.

Figure 1. Total nonfarm payrolls fell by 23,000 in July and the unemployment rate slowed to 4.1%

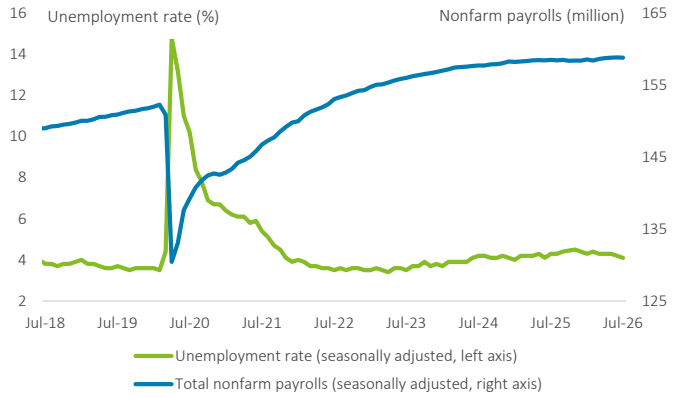
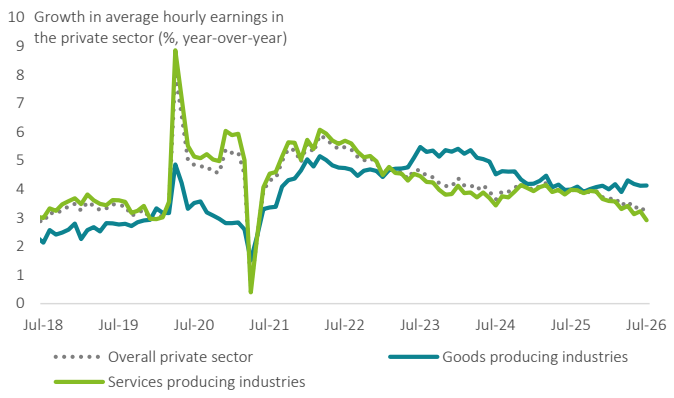


Figure 2. Average hourly earnings in the private sector were up 3.2% in July from a year ago



Sources: Haver Analytics; Deloitte analysis.

For additional information, please reach out to the US Economics team:
Akrur Barua (abarua@deloitte.com), **Ira Kalish** (ikalish@deloitte.com), **Michael Wolf** (miwolf@deloitte.com)

Dashboard of key indicators

Real economy

Total nonfarm payrolls

Jul change	3-month avg ch	12-month avg ch	Trend
-23,000	20,000	26,000	

Unemployment rate

Jul value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.1	-0.1	-0.2	

Real disposable personal income

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.1	0.5	

Real personal consumer expenditure

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.4	0.9	2.5	

Nominal retail sales

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	1.9	6.7	

Conference Board consumer confidence index

Jul value	1-month ch	3-month ch	Trend
90.8	-1.4	-3.0	

Housing permits

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-2.6	0.8	-1.8	

Manufacturing industrial production

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.1	0.8	1.1	

Shipments of core capital goods

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
2.0	2.8	9.4	

Trade balance

Jun value (US$ billion)	1-month ch	3-month ch	Trend
-73.3	4.4	-16.7	

Real GDP

Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
1.5	2.1	2.1	

Corporate profits

Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
7.0	26.3	12.8	

Financial markets

Equity markets

S&P 500 on Aug 7	1-week ch (%)	1-year ch (%)	Trend
7757.6	3.6	21.4	

Treasury yield spread (10 yr - 2 yr)

Spread on Aug 7	1-month ch(ppts)	3-month ch(ppts)	Trend
0.46	0.10	0.0	

CBOE volatility index (VIX)

VIX on Aug 7	1-week ch	4-week ch	Trend
14.9	-1.1	-0.9	

Kansas City Fed financial stress index (KCFSI)

Jul index	1-month ch	3-month ch	Trend
-0.9	-0.1	-0.1	

Inflation

Consumer price index (CPI)

Jun change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.4	0.7	3.5	

Core CPI (CPI excluding food and energy)

Jun change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.0	0.6	2.6	

Core PCE (PCE price index excluding food and energy)

Jun change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	0.7	3.3	

Philadelphia Fed 10-year ahead inflation expectations

Q2 2026 (%, YoY)	Q1 2026	Q2 2025	Trend
2.4	2.3	2.4	

Sources: Haver Analytics; Deloitte analysis.